

September 16, 2026

Vistaar Financial Services Pvt Ltd: Rating reaffirmed for SNs issued under small business loans securitisation transaction

Summary of rating action

Trust name	Instrument*	Initial amount (Rs. crore)	Amount O/s after last surveillance (Rs. crore)	Current rated amount (Rs. crore)	Rating action	Financial sector regulator [#]
Jiraiya Trust 07 2022	SN Series A1	29.13	5.30	2.23	[ICRA]AAA(SO); Reaffirmed	RBI

*Instrument details are provided in Annexure I

[#]SEBI's grievance redressal/dispute resolution and SEBI investor protection mechanisms such as SCORES and ODR shall not be available for activities and instruments which fall under the regulatory purview of Financial Sector Regulators other than SEBI.

Rationale

The securitisation notes (SNs) are backed by small business loan receivables originated by Vistaar Financial Services Pvt Ltd (VFSPL/Originator; rated [ICRA]A+(Stable)/[ICRA]A1+¹). VFSPL is also the servicer for the transaction.

The rating action factors in the build-up of the credit enhancement cover over the future SN payouts on account of high pool amortisation. The rating also draw comfort from the fact that the breakeven collection efficiency is nil as the cash collateral (CC) covers the entire future SN payouts as on August 2026 payout month.

Pool performance summary

Parameter	Jiraiya Trust 07 2022
Payout month	August 2026
Months post securitisation	49
Pool amortisation	80.3%
SN Series A1 amortisation	92.3%
Cumulative collection efficiency ²	100.0%
Cumulative prepayment rate	55.3%
Loss-cum-30+ days past due (dpd ³ ; % of initial pool principal)	0.0%
Loss-cum-90+ dpd ⁴ (% of initial pool principal)	0.0%
Cumulative cash collateral (CC) utilisation	0.0%
CC available (as % of balance pool principal)	40.7%
Excess interest spread (EIS ⁵ ; as % of balance pool principal)	47.6%
Principal subordination (% of balance pool principal)	66.1%
Breakeven collection efficiency ⁶	0.0%

¹ The current rating rationale of the originator, available at this [link](#), provides its detailed rating history and rating transitions.

² (Cumulative current and overdue collections till date)/(Cumulative billing till date + Opening overdues at the start of the transaction)

³ Inclusive of unbilled and overdue principal portion of delinquent contracts overdue by more than 30 days, as a % of Initial pool principal

⁴ Inclusive of unbilled and overdue principal portion of delinquent contracts overdue by more than 90 days, as a % of Initial pool principal

⁵ (Pool cash flows – Cash flows to SN investors – Originator's residual share)/Pool principal outstanding

⁶ (Balance cash flows payable to investor – CC available)/Balance pool cash flows

Transaction structure

As per the transaction structure, the first line of support for SN Series A1 in the transaction is in the form of a subordination of 13.00% of the pool principal (includes SN Series A2 and over-collateralisation). As per the waterfall mechanism for the transaction, the monthly pool collections shall be used for meeting the promised payouts (defined as interest at predetermined yield and 87.00% of billed principal) to SN Series A1, followed by the remaining expected principal payouts to SN Series A1 (13.00% of billed principal). All prepayments would be passed on to SN Series A1. An important feature of the transaction is that the yield on SN Series A2 is residual (equivalent to the excess interest spread (EIS) available), extending further support to the transaction.

Key rating drivers and their description

Credit strengths

Significant credit enhancement available in the structure – The rating factors in the build-up in the credit enhancement with the cash collateral (CC) increasing to 40.7% of the balance pool principal and fully covering the future SN payouts. Internal credit support is also available through principal subordination of 66.1% and EIS of 47.6% of the balance pool principal.

Healthy pool performance – The pool's performance has been healthy with a cumulative collection efficiency of 100.0% till the August 2026 payout month. This has resulted in nil delinquencies in the harder bucket with nil loss-cum-90+ days past due (dpd; as percentage of initial pool principal). The breakeven collection efficiency also declined to 0.0%. Further, there have been no instances of CC utilisation in the pool till date owing to the strong collection performance and the presence of EIS in the transaction.

Adequate servicing capability of originator – The company has adequate processes for servicing the loan accounts in the securitised pool. It has a track record of over a decade of regular collections and recoveries across multiple geographies.

Credit challenges

Not applicable

Key rating assumptions

ICRA's cash flow modelling for rating securitisation transactions involves the simulation of potential losses, delinquencies and prepayments in the pool. The losses and prepayments are assumed to follow a log-normal distribution. The assumptions for the losses and the coefficient of variation are considered on the basis of the values observed from the analysis of the past performance of the Originator's loan portfolio as well as the characteristics of the specific pool being evaluated. The resulting collections from the pool, after incorporating the impact of the losses and prepayments, are accounted for in ICRA's cash flow model, in accordance with the cash flow waterfall of the transaction.

Details of key counterparties

The key counterparties in the rated transaction are as follows:

Transaction name	Jiraiya Trust 07 2022
Originator	Vistaar Financial Services Pvt Ltd
Servicer	Vistaar Financial Services Pvt Ltd
Trustee	Catalyst Trusteeship Limited
CC holding bank	ICICI Bank
Collection and payout account bank	ICICI Bank

Liquidity position: Superior

The liquidity is superior for SN Series A1 as CC fully covers future SN payouts.

Rating sensitivities

Positive factors – Not Applicable.

Negative factors – The rating is unlikely to be downgraded as CC fully covers future SN payouts.

Analytical approach

The rating action is based on the performance of the pool till the August 2026 payout month (July 2026 collection month), the present delinquency profile of the pool, the credit enhancement available in the transaction, and the performance expected over the balance tenure of the pool.

Analytical approach	Comments
Applicable rating methodologies	Rating Methodology for Securitisation Transactions
Parent/Group support	Not applicable
Consolidation/Standalone	Not applicable

About the originator

VFSPL is a Bengaluru-based non-banking financial company (NBFC) catering to small businesses. It commenced operations in 2010 with a focus on microfinance (MF) loans. However, it shifted its focus to providing loans to micro, small and medium enterprises (MSMEs) in rural and semi-urban areas from April 2011 and stopped disbursing new MF loans from August 2011. The company mainly provides small business mortgage loans (SBMLs) at present. Small businesses funded by VFSPL include trading, kirana/general stores/shops, power/auto/handlooms, dairy and allied products, and small manufacturing units. Warburg Pincus LLC is the majority shareholder with a 70.1% stake as of March 2026. In FY2025 and Q1 FY2026, new investors (Motilal Oswal Finvest Limited, IMP2 Catalyst Pte Ltd, Faering Capital Growth Fund III and Faering Capital International Growth Fund III) made an investment in the company. A capital infusion of Rs. 840 crore was made in FY2025 with another Rs. 30 crore in Q1 FY2026. Mr. Avijit Saha, who has more than 30 years of experience in rural and inclusive banking, is VFSPL's Managing Director & Chief Executive Officer (MD & CEO). In addition, the company's board consists of one nominee director, three additional directors, and two independent directors. As of March 2026, VFSPL had 309 branches in 12 states/Union Territories, including Tamil Nadu, Karnataka, Maharashtra, Gujarat, Madhya Pradesh, Rajasthan, Odisha, Uttar Pradesh, Andhra Pradesh, Telangana, Haryana and Delhi.

Key financial indicators

Vistaar Financial Services Pvt Ltd	FY2024	FY2025	FY2026
Total income	684.7	924.0	1,027.0
Profit after tax	147.1	221.1	287.3
Total managed assets ⁷ (Rs. crore)	4,631.7	6,073.1	6,211.3
Gross stage 3	2.7%	3.1%	2.9%
CRAR	33.4%	51.4%	51.4%

Source: Company, ICRA Research; Amount in Rs. crore; All ratios as per ICRA's calculations; * Limited review

⁷ Total managed assets = Total assets + Off-book AUM + Impairment loss allowance

Status of non-cooperation with previous CRA: Not applicable

Any other information: None

Rating history for past three years

Trust name	Current rating (FY2027)				Chronology of rating history		
	Instrument	Initial amount rated (Rs. crore)	Current amount rated (Rs. crore)	Date & rating in FY2027	for the past 3 years		
				September 16, 2026	Date & rating in FY2026	Date & rating in FY2025	Date & rating in FY2024
Jiraiya Trust 07 2022	SN Series A1	29.13	2.23	[ICRA]AAA(SO)	November 26, 2025	November 25, 2024	November 27, 2023
					[ICRA]AAA(SO)	[ICRA]AA+(SO)	[ICRA]AA+(SO)

Complexity level of the rated instrument

Instrument	Complexity indicator
SN Series A1	Highly Complex

The Complexity Indicator refers to the ease with which the returns associated with the rated instrument could be estimated. It does not indicate the risk related to the timely payments on the instrument, which is rather indicated by the instrument's credit rating. It also does not indicate the complexity associated with analysing an entity's financial, business, industry risks or complexity related to the structural, transactional or legal aspects. Details on the complexity levels of the instruments are available on ICRA's website: [Click here](#)

Annexure I: Instrument details

Trust name	Instrument type	Date of issuance	Coupon rate (p.a.p.m)*	Maturity date	Amount rated (Rs. crore)	Current rating	Financial Sector Regulator [#]
Jiraiya Trust 07 2022	SN Series A1	August 03, 2022	8.60%	January 15, 2037	2.23	[ICRA]AAA(SO)	RBI

Source: Company; * Floating interest rate linked to RBI repo rate

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Annexure II: List of entities considered for consolidated analysis

Not applicable

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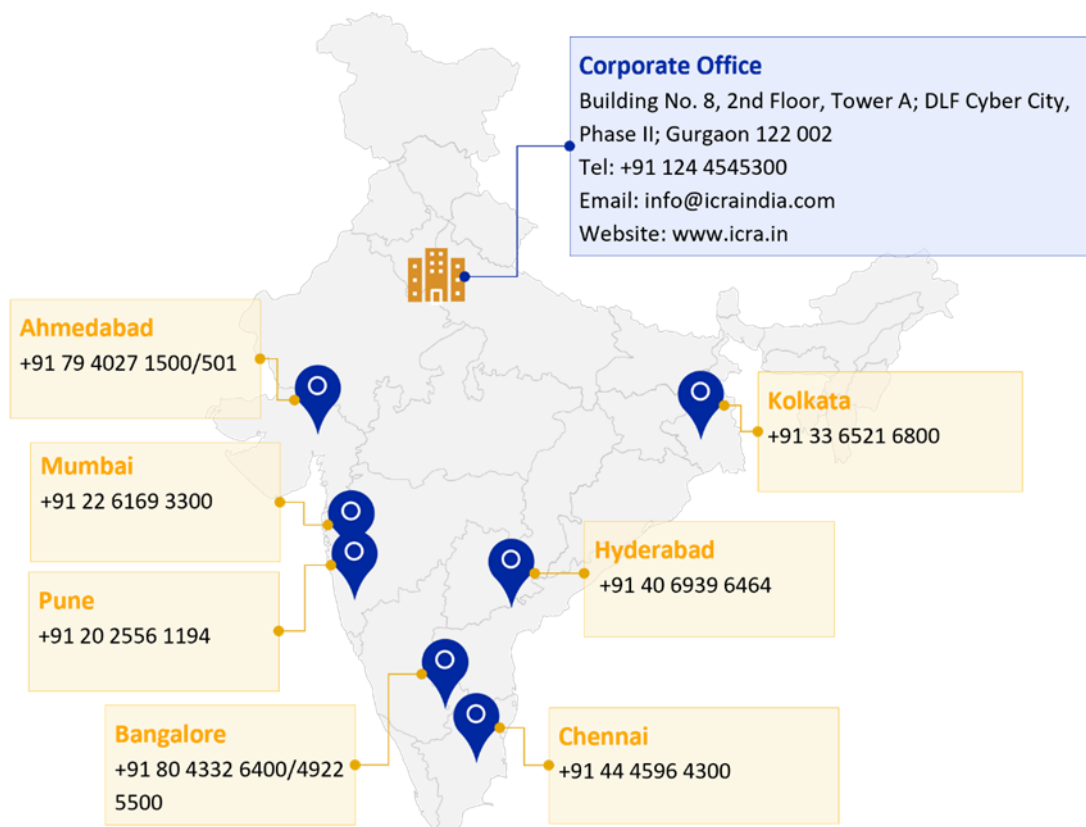


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